Retail Equity Research

Power Mech Projects Ltd.

Capital Goods

Accumulate

BSE CODE : 539302 NSE CODE: POWERMECH
BLOOMBERG CODE: POWM:IN SENSEX :73,143

12 Months Investment Period Rating as per Small Cap
CMP: Rs.5,158 TARGET: Rs.5,882 RETURN: 14%
(Closing: 23.02.2024)

KEY CHANGES: *TARGET* ↑ *RATING* ↔ *EARNINGS* ↓

Double Delight Ahead : Orderbook growth and Margin expansions.

Power Mech Projects Ltd. (POWM) is a leading infrastructure construction company based in Hyderabad with a global presence.

- **In Q3FY24, the revenue from operations grew by 22% YoY due to contributions from erection, civil and electrical business while PBT and PAT grew at 46% and 23% respectively.**
- **Mining activities have commenced in SAIL MDO site while KBP mining site is expected to become operational by May and mining activities are to begin from July, 2024.**
- **Currently, the orderbook stands at 13.70X TTM Revenue, which provides topline visibility for the long term. Opportunities from power sector, O&M business, railways and irrigation will be key drivers for order book growth. The company has set a target of Rs.40,000cr. to Rs.50,000cr of order booking for the next year.**
- **The 9MFY24 performance was satisfactory due to elections in 5 states. Hence, we cut our estimates due to the upcoming general elections. But we are upbeat on the stock due to its orderbook backlog and improving margins due to increasing O&M pie and MDO stabilization.**
- **Hence we maintain the ACCUMULATE rating, valuing the stock at 12XFY26 EPS , with a target price of Rs.5,882.**

Revenue shines while PBT soars

In Q3FY24, POWM saw revenue from operations grow by 21.8% YoY to Rs.1,107cr. as contributions from erection/electrical/civil business grew by 60%/75%/22% YoY respectively. The increase in cost of sales and contract execution expenses were partially offset by lower employee expenses and other expenses, resulting in a 79bps expansion in EBITDA margin. As a result, EBITDA grew by 30%YoY and stood at Rs.134cr. PBT increased by 46% YoY, while PAT grew by 23% to Rs.62 crore.

Mining order updates:-

- KBP Mining Project: Overburden removal and other groundwork are expected to start in May, and coal mining might start in July 2024. 4,00,000–4,50,000 metric tons of coal are expected to be excavated in FY25.
- SAIL MDO order: Overburden removal and groundwork have commenced. 80,000 metric tons of coal have been excavated since January, and the company has set a target of 3 lakh metric tons by the end of the year. The company expects to raise the first bill in February.

Abundant opportunities to sustain strong orderbook

Going forward, POWM looks to capitalise Rs.15,000 to Rs.20,000cr. opportunities in the overall power sector. Additionally, over 25 GW capacity addition opportunity in Saudi Arabia, mostly comprising combined cycle plants (an area of POWM's expertise), bodes well for the company. For the next year, the company has set a target of Rs. 40,000 to Rs. 50,000 crores, which are expected to come from the power sector, O&M, railways, irrigation, and road construction. As of Q3FY24, the orderbook stands at 13.70X TTM revenue, giving visibility for the medium to long term.

Valuation

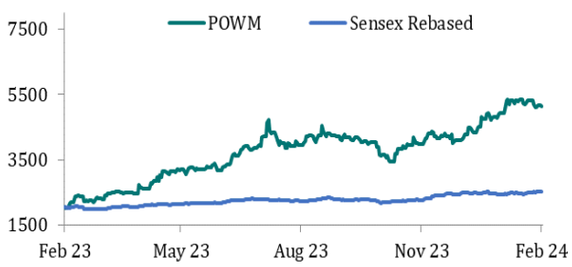
Since over 94% of 9MFY24 business was from India, we cut the revenue, EBITDA, and PAT estimates due to the election-related slowdown, higher cost of sales, and contract execution expenses. Nevertheless, we are upbeat about the stock as the orderbook backlog gives medium- to long-term visibility, and stabilising MDO and O&M orders will improve the margin profile of the company. Hence, we value the stock at 12XFY25E EPS and maintain "ACCUMULATE" rating with a target price of Rs.5,882.

Company Data	
Market Cap (Rs cr)	8,126
Enterprise Value (Rs cr)	8,418
Outstanding Shares (Rs cr)	1.6
Free Float	40%
Dividend Yield	0.04%
52 week high (Rs)	5,544
52 week low (Rs)	2,006
6m average volume (Thousands)	26.08
Beta	1.0
Face value (Rs)	10.0

Shareholding (%)	Q1FY24	Q2FY24	Q3FY24
Promoters	64.1	64.1	60.4
FII's	3.6	4.2	4.2
MFs/Institution	13.5	14.5	18.6
Public	18.8	17.3	16.8
Total	100.0	100.0	100.0
Promoter Pledge	Nil	Nil	Nil

Price Performance	3 Month	6 Month	1 Year
Absolute Return	27.1%	21.9%	151.4%
Absolute Sensex	10.3%	12.2%	22.8%
Relative Return*	16.8%	9.8%	128.6%

*over or under performance to benchmark index



Consolidated (cr)	FY24E	FY25E	FY26E
Sales	4,595	6,325	8,448
Growth (%)	28	38	34
EBITDA	557	870	1,243
EBITDA Margin(%)	12	14	15
PAT Adj.	318	512	762
Growth (%)	53	61	49
Adj. EPS	201	324	482
Growth (%)	45	61	49
P/E	25.7	15.9	10.7
P/B	4.2	3.3	2.5
EV/EBITDA	12.6	8.2	5.8
ROE (%)	20	23	27
D/E	0.4	0.4	0.3

Quarterly Financials (Consolidated)

Profit & Loss

(Rs cr)	Q3FY24	Q3FY23	YoY Growth (%)	Q2FY24	QoQ Growth (%)	9MFY24	9MFY23	YoY Growth (%)
Sales	**1,107**	**909**	22	**932**	19	**2,905**	**2,427**	20
EBITDA	**134**	**103**	30	**113**	18	**346**	**273**	27
EBITDA margins (%)	12	11	79bps	12	-7bps	12	11	69bps
Depreciation	12	10	14	10	17	32	30	6
EBIT	**122**	**92**	32	**103**	18	**314**	**243**	30
Interest	23	24	(6)	25	(8)	68	66	3
Other Income	7	3	152	3	154	17	8	121
Exceptional Items	0	0	0	0	0	0	0	0
PBT	**99**	**68**	46	**78**	27	**246**	**177**	40
Tax	43	19	129	29	49	96	48	102
Reported PAT	**62**	**51**	23	**51**	21	**164**	**133**	24
Adjustments	0	0	0	0	0	-	-	0
Adj PAT	**62**	**51**	23	**51**	21	**164**	**133**	24
No. of Shares(cr.)	1.6	1.5		1.6		1.6	1.5	
EPS (Rs)	**39**	**34**	14	**32**	21	**104**	**90**	24

Change in Estimates

	Old estimates		New estimates			Change (%)	
Year / Rs cr	**FY24E**	**FY25E**	**FY24E**	**FY25E**	**FY26E**	**FY24E**	**FY25E**
Revenue	4,996	6,873	4,595	6,325	8,448	-8.0	-8.0
EBITDA	605	917	557	870	1,243	-8.0	-5.1
Margins (%)	12.1	13.30	12.1	13.8	14.7	2bps	46bps
Adj. PAT	340	518	318	512	762	-6.6	-1.1
EPS	231	352	201	324	482	-13.0	-8.0

Consolidated Financials

PROFIT & LOSS

Y.E March (Rs. cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	**2,710**	**3,601**	**4,595**	**6,325**	**8,448**
% change	*44*	*33*	*28*	*38*	*34*
EBITDA	**286**	**404**	**557**	**870**	**1,243**
% change	*584*	*41*	*38*	*56*	*43*
Depreciation	37	43	45	82	102
EBIT	**249**	**361**	**511**	**788**	**1,141**
Interest	79	90	94	111	131
Other Income	17	17	17	17	17
PBT	**187**	**288**	**434**	**694**	**1,027**
% change	(429)	54	51	60	48
Tax	46	73	109	173	257
Tax Rate (%)	25	25	25	25	25
Reported PAT	**138**	**207**	**318**	**512**	**762**
Adj*	0	0	0	0	0
Adj PAT	**138**	**207**	**318**	**512**	**762**
% change	-	50	53	61	49
No. of shares (cr)	1.5	1.5	1.6	1.6	1.6
Adj EPS (Rs.)	**94**	**139**	**201**	**324**	**482**
% change	-	0	0	1	0
DPS (Rs.)	0	2	1	1	1

BALANCE SHEET

Y.E March (Rs. cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Cash and Cash Equivalents	150	172	386	349	360
Accounts Receivable	667	894	1,120	1,525	1,967
Inventories	138	147	210	279	373
Other Cur. Assets	1,409	1,602	1,770	2,087	2,785
Investments	39	36	38	40	42
Gross Fixed Assets	405	447	687	912	1,137
Net Fixed Assets	172	182	377	520	643
CWIP	2	3	13	13	13
Intangible Assets	3	2	3	3	3
Def. Tax (Net)	12	12	15	18	21
Other Assets	0	0	0	0	0
Total Assets	**2,597**	**3,054**	**3,936**	**4,838**	**6,211**
Current Liabilities	937	1,207	1,372	1,584	2,117
Provisions	9	5	10	14	19
Debt Funds	527	475	515	690	765
Other Liabilities	80	91	97	97	97
Equity Capital	15	15	16	16	16
Reserves & Surplus	1,029	1,260	1,926	2,436	3,197
Shareholder's Fund	1,043	1,275	1,941	2,452	3,213
Total Liabilities	**2,597**	**3,054**	**3,936**	**4,838**	**6,211**
BVPS (Rs.)	**709**	**855**	**1,228**	**1,551**	**2,032**

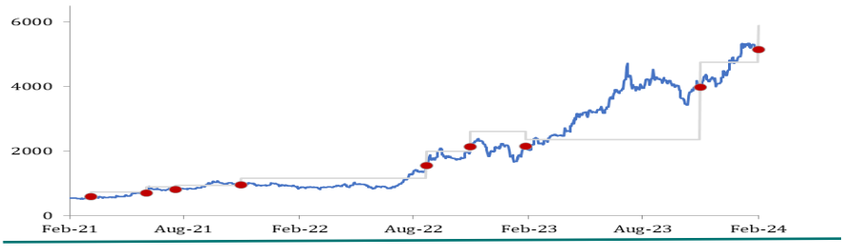
CASH FLOW

Y.E March (Rs. cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Net inc. + Depn.	**222**	**323**	**472**	**768**	**1,121**
Non-cash adj.	16	15	(17)	(65)	(129)
Changes in W.C	(63)	(155)	(282)	(574)	(696)
C.F. Operation	**175**	**182**	**173**	**128**	**296**
Capital exp.	(40)	(50)	(251)	(225)	(225)
Change in inv.	0	0	(2)	(2)	(2)
Other invest.CF	(12)	(43)	0	0	0
C.F – Investment	**(52)**	**(91)**	**(253)**	**(227)**	**(227)**
Issue of equity	0	0	350	0	0
Issue/repay debt	(61)	(116)	(54)	64	(56)
Dividends paid	0	(22)	(16)	(16)	(16)
Other finance.CF	(3)	(2)	0	0	0
C.F – Finance	**(63)**	**(120)**	**294**	**62**	**(58)**
Chg. in cash	60	(29)	214	(37)	11
Closing cash	150	172	386	349	360

RATIOS

Y.E March	FY22A	FY23A	FY24E	FY25E	FY26E
Profitab. & Return					
EBITDA margin (%)	10.6	11.2	12.1	13.8	14.7
EBIT margin (%)	9.2	10.0	11.1	12.5	13.5
Net profit mgn.(%)	5.1	5.8	6.9	8.1	9.0
ROE (%)	14.2	17.9	19.8	23.3	26.9
ROCE (%)	13.6	16.5	18.5	21.3	24.2
W.C & Liquidity					
Receivables (days)	80.8	79.1	80.0	76.3	75.4
Inventory (days)	17.0	14.4	14.2	14.1	14.1
Payables (days)	97.6	90.0	89.9	83.9	84.8
Current ratio (x)	2.5	2.3	2.5	2.7	2.6
Quick ratio (x)	0.8	0.8	1.1	1.2	1.1
Turnover & Leverage					
Gross asset T.O (x)	7.0	8.5	8.1	7.9	8.2
Total asset T.O (x)	1.1	1.3	1.3	1.4	1.5
Int. coverage ratio (x)	3.1	4.0	5.4	7.1	8.7
Adj. debt/equity (x)	0.7	0.6	0.4	0.4	0.3
Valuation					
EV/Sales (x)	2.6	1.9	1.5	1.1	0.9
EV/EBITDA (x)	24.5	17.3	12.6	8.2	5.8
P/E (x)	54.8	37.1	25.7	15.9	10.7
P/BV (x)	7.3	6.0	4.2	3.3	2.5

Recommendation summary (Last 3 Years)



Dates	Rating	Target
31-Mar-21	BUY	727
28-Jun-21	BUY	894
12-Aug-21	ACCUMULATE	939
25-Nov-21	BUY	1163
16-Sep-22	BUY	1989
25-Nov-22	BUY	2609
21-Feb-23	ACCUMULATE	2,354
28-Nov-23	ACCUMULATE	4,750
26-Feb-24	ACCUMULATE	5,882

Source: Bloomberg, Geojit Research.

Investment Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	**Upside is above 10%**	**Upside is above 15%**	**Upside is above 20%**
Accumulate	**-**	**Upside is between 10%-15%**	**Upside is between 10%-20%**
Hold	**Upside is between 0% - 10%**	**Upside is between 0%-10%**	**Upside is between 0%-10%**
Reduce/sell	**Downside is more than 0%**	**Downside is more than 0%**	**Downside is more than 0%**
Not rated/Neutral			

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/ Neutral:** The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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Not rated/Neutral- The analyst has no investment opinion on the stock under review

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